

Working-Capital Requirements. The provisions for maintaining working capital at a certain percentage of bonded debt, and for a certain ratio of current assets to current liabilities, are by no means standardized. They appear only in industrial bond indentures.⁴

The required percentages vary, and the penalties for nonobservance vary also. In most cases the result is merely the prohibition of dividends until the proper level or ratio of working capital is restored. In a few cases the principal of the bond issue may be declared due.

Examples: 1. *Sole penalty, prohibition of dividends.* B. F. Goodrich First 4¹/₄s, due 1956, and Wilson and Company First 4s, due 1955, require current assets to equal total indebtedness, *i.e.*, net quick assets to equal funded debt. In the case of West Virginia Pulp and Paper First 4¹/₂s, due 1952, subsidiary preferred stocks are included with funded debt.

The provisions of Fairbanks, Morse and Company Debenture 4s, due 1956, require that current assets equal (a) 110% of total liabilities and (b) 200% of current liabilities. In the case of Wheeling Steel First 4¹/₂s, due 1966, and Republic Steel General 4¹/₂s, due 1956, current assets must equal 300% of current liabilities, and net current assets must equal 50% of the funded debt.

2. *Failure to meet requirement is an event of default.* Skelly Oil Debenture 4s, due 1951, and Serial Notes, due 1937–1941. Here the company agrees to maintain current assets equal to at least 200% of current liabilities.

In the case of Continental Steel 4¹/₂s, due 1946, the required ratio is 115%.

Among former examples may be cited American Machine and Foundry 6s, due 1939, which had a twofold provision: the first prohibiting dividends unless net current assets equal 150% of the outstanding bond issue, and the second requiring unconditionally that the net current assets be maintained at 100% of the face value of outstanding bonds. In the case of United States Radiator Corporation 5s, due 1938, the company agreed at all times to maintain net working capital equal to 150% of the outstanding funded debt.

It would appear to be sound theory to require regularly some protective provisions on the score of working capital in the case of industrial

⁴ Ashland Home Telephone First 4¹/₂s, due 1961, are a *public-utility* issue with a peculiar, and rather weak, provision relating to net current assets.